

Program : Diploma in Commercial Practice	
Course Code : 5143B	Course Title: Banking & Insurance
Semester : 5	Credits: 4
Course Category: Program Elective	
Periods per week: 4 (L:4, T:0, P:0)	Periods per semester: 60

Course Objectives:

- To familiarize the students with the basic concepts and practice of banking and the principles of Insurance.
- To familiarize the students with the changing scenario of Indian Banking and Insurance.

Course Prerequisites:

Topic	Course name
General awareness about banking	Secondary School

Course Outcomes:

On completion of the course, the student will be able to:

COn	Description	Duration (Hours)	Cognitive Level
CO1	Identify the relationship between banker and customer.	15	Applying
CO2	Apply fundamental knowledge of banking operations and negotiable instruments.	14	Applying
CO3	Identify innovations and reforms in banking.	15	Applying
CO4	Apply basic knowledge of insurance.	14	Applying
	Series Test	2	

CO - PO Mapping:

Course Outcomes	PO1	PO2	PO3	PO4	PO5	PO6	PO7
CO1	3						
CO2	3						
CO3	3						
CO4	3						

3-Strongly mapped, 2-Moderately mapped, 1-Weakly mapped

Course Outline:

Module Outcomes	Description	Duration (Hours)	Cognitive Level
CO1	Identify the relationship between banker and customer.		
M1.01	Recall the term customer and banker.	3	Understanding.
M1.02	Identify the General relationship between banker and customer.	5	Applying.
M1.03	Explain rights and duties of a banker.	4	Understanding.
M1.04	Summarize Garnishee Order.	3	Understanding.
Contents: Introduction to Banking —Meaning and definition of banker and customer—Relationship between banker and customer—General relationship and special relationship—bank debt Vs commercial debt—Rights of banker—Duties of banker——Meaning of Garnishee Order.			
CO2	Apply fundamental knowledge of banking operations and negotiable instruments.		
M2.01	Classify different types of account and list out procedure for opening such accounts.	3	Understanding
M2.02	Identify the procedure and circumstances for closing and closing of accounts.	2	Applying
M2.03	Describe Negotiable Instruments and its requisites.	2	Understanding
M2.04	Explain the meaning and importance of crossing & identify different types of crossing.	4	Applying
M2.05	Interpret the meaning and types of endorsement.	3	Understanding
	Series Test - I	1	

Contents:**Bank Accounts and Negotiable Instruments:**

Types of accounts—Procedure for opening of different types of accounts—Meaning of Passbook —Special type of customers—Closing of accounts—Circumstances to close the accounts—Different types of NRI accounts – Features and Benefits of NRI Account.

Negotiable instrument—Meaning of cheque— Essentials of valid cheque - Meaning of Bills of exchange—Cheque Vs Bill of Exchange—Post dated—Ante dated—Stale cheque—Crossing of cheque—Types of Crossing - Parties competent to cross cheque—Order cheque—Bearer cheque— Meaning, features of Electronic Clearing Services (ECS) —Endorsement—Meaning and definition—Types of endorsement.

CO3	Identify innovations and reforms in banking.		
M3.01	Identify innovative trends in Indian Banking.	8	Applying
M3.02	Explain Loan and advances.	4	Understanding
M3.03	Identify the principles of sound lending.	3	Applying

Contents:

Innovations and reforms in Banking – E-banking –CDM – Telephone banking- ECS– EFT – NEFT – RTGS – SWIFT — Smart cards-ATM - Shift from plastic money to Apps based banking - Mobile Banking –Unified Payment Interface - Internet banking -Digital banking – Virtual banking - Post office banking- Green banking- CORE Banking - Cheque Truncation System– CIBIL – KYC - Banking Sector Reforms---Prudential Norms- Capital Adequacy Norms - NPA management– Basel reforms - Small Finance Banks - Payment Banks - Financial Inclusion – PMJDY- Banking Ombudsman - Demonetization.

Loan and advances—Sound lending principles—Types of loans and advances—Types of securities of loans and advances—Methods of creating charges— lien, pledge, mortgage, hypothecation—Types of mortgages.

CO4	Apply basic knowledge of insurance.		
M4.01	Explain the concept of risk and importance of general insurance.	3	Understanding
M4.02	Summarize the Principles of general insurance.	3	Understanding
M4.03	Identify different types of insurance policies.	4	Applying
M4.04	Explain the procedure for taking policies and their settlement.	4	Understanding
	Series Test - II	1	

Contents:

Introduction to Insurance Policies: Concept of Risk-Meaning-Features of insurable risk -

Introduction to Insurance Policies: Concept of Risk-Meaning-Features of insurable risk - Different types of General Insurance. - (i) Fire Insurance. (ii) Marine Insurance. (iii) Motor Vehicle Insurance. (iv) Medi-Claim Insurance. (v) Accident Insurance. (vi) Burglary and Theft Insurance. - Principles of General Insurance - Insurable Interest, Indemnity, subrogation, good faith. - Fire Insurance - Types of Fire insurance Policies - Procedure for taking Fire Insurance Policies and settlement of claims - Marine Insurance- Three types of Marine insurance - Cargo Insurance, Hull Insurance and Freight Insurance - Marine losses. Motor Vehicle Insurance - Types of Policies and Risks Covered therein. - Procedure for obtaining motor Insurance Policy - Settlement of claims - Medi-Claim and Accident Insurance - Important conditions and Benefits of Medi-claim and Accident Insurance, Procedure for claims. - Need for Burglary and Theft Insurance - Recovering claims in Burglary and Theft Insurance - Regulatory and Legal Framework governing the Insurance.

Text / Reference:

T/R	Book Title/Author
T1	M.L. Tannan. <i>Banking Law and Practice</i> . Sulthan Chand, Delhi.
R1	K.P.M. Sundharam & P.N.Varshney. <i>Banking- Theory Law and Practice</i> . Sulthan Chand, Delhi.
R2	M.Radhaswami & S.V. Vasudevan. <i>A Text Book of Banking</i> . Sulthan Chand, Delhi
R3	Prof.Clifford Gomez. <i>Banking theory and Practice</i> . PHI Publishers
R4	Gupta, P.K. <i>Insurance and Risk Management</i> . Himalaya Publishing House, Mumbai.

Online Resources:

Sl. No	Website Link
1	https://www.investopedia.com/terms/n/negotiable-instrument.asp
2	https://iedunote.com/relationship-between-banker-and-customer
3	https://acadpubl.eu/jsi/2017-116-13-22/articles/18/98.pdf
4	https://www.godigit.com/guides/types-of-insurance